



Improving Engagement & Retention in Zomato Food Delivery

CY2026 PRODUCT STRATEGY

A first-principles, data-informed approach to building habit-forming food delivery experiences in India's most competitive urban markets.

The Retention Battle in Tier-1 Cities Is Already Being Fought at the Habit Layer

"Retention in mature food delivery markets is won less by acquisition and more by becoming the default habit — through relevance, reliability, and repeatability."

The Problem

Zomato's Tier-1 users face friction across every stage of the funnel — from discovery overload to ETA distrust — causing silent churn that aggregate metrics mask.

The Insight

Users don't churn at one moment. They leak across the journey. Fixing retention means fixing the full loop: Discovery → Order → Delivery → Repeat.

The Strategy

Invest in three compounding pillars — **Relevance** (find the right thing fast), **Reliability** (trust every order), and **Repeatability** (make re-ordering effortless).

The North Star

Monthly Retained Transacting Users (MRTU) — users who transact this month and transacted in at least 1 of the previous 2 months. This metric captures real habit formation, not vanity activity.



PROBLEM FRAMING

Tier-1 Cities Are Where the Retention War Is Hardest — and Most Valuable

The PM Challenge

Optimize the end-to-end journey across **Discovery** → **Order** → **Delivery** to improve engagement depth and long-term retention — not just order volume.

The goal is not more downloads. It is turning one-time customers into high-frequency, full-price, habit-driven users.

Why Tier-1 Cities Are Uniquely Hard

- **High competition:** Swiggy, Blinkit, and aggregators compete on same supply
- **High user expectations:** Tech-savvy users with zero patience for friction
- **Dense restaurant supply:** Choice overload is a real drop-off trigger
- **Low tolerance for bad experiences:** One cold meal = 2-week dormancy
- **Discount conditioning:** Users trained to wait for promo windows

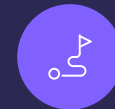
Six Analytical Lenses Applied to This Problem

The framework is not one tool — it is a layered system that moves from first principles to testable hypotheses.



First Principles

Strip away assumptions. What does a user actually need when hungry? Speed, confidence, and no regret.



User Journey Thinking

Map every step from intent to repeat — friction is invisible until you walk each stage carefully.



Funnel Analysis

Quantify drop-offs at each stage to identify where volume is leaking, not just where revenue is lost.



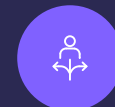
Cohort Analysis

Aggregate metrics lie. Cohort curves reveal which user segments are actually building habit vs. silently leaving.



Habit Formation Loops

Hooked model applied: cue (meal time), routine (open app), reward (great food, on time) = compounding retention.



Pain × Impact Matrix

Prioritize where user pain is highest AND where fixing it creates the most compounding business value.

One North Star. A Hierarchy of Health Metrics Below It.

North Star Metric

MRTU

Monthly Retained Transacting Users

Users who transact this month AND transacted in at least 1 of the previous 2 months. Captures real habit formation — not one-time usage or reactivated ghosts.

Supporting Health Metrics

Orders / Retained User

Measures engagement depth per active user per month

Session → Order CVR

Funnel efficiency: how many sessions convert to placed orders

On-Time Delivery Rate

Orders delivered within promised ETA window

Complaint Rate

Post-delivery complaints per 100 orders — quality signal

90-Day Retention

% of new users who place an order in their 3rd month

Discount Dependency

% of retained orders requiring a promo — margin health proxy



CY2026 OBJECTIVE

One Bold Objective for the Year

"Make Zomato the most habit-forming and reliable food delivery app in Tier-1 cities — by helping users discover better choices faster, order with more confidence, and receive food with greater predictability."

This is not a growth objective. It is a **product quality objective** — one that earns retention, not buys it.

Four Measurable Outcomes That Define Success in CY2026

1

Orders per Retained User

Increase from ~5.2 to 6.5 orders/user/month for retained cohort in Tier-1 cities by Q4 CY2026. Signals engagement depth and habit reinforcement.

2

Session → Order Conversion

Improve session-to-order CVR from ~28% to 34%. Indicates that discovery, menu, and checkout improvements are reducing mid-funnel friction.

3

Delivery Reliability

Improve on-time delivery rate to 88%+ and reduce delivery complaints to below 4 per 100 orders. Trust is the foundation of repeat behavior.

4

90-Day Retention for New Users

Improve 90-day retention from ~22% to 30% for new users acquired in Tier-1. Reflects effectiveness of first-3-orders onboarding investment.

Users Do Not Churn at One Point. They Leak Across the Journey.

Retention is not a single moment of failure — it is the accumulated output of friction at every touchpoint. The delivery chain has six distinct leak points.

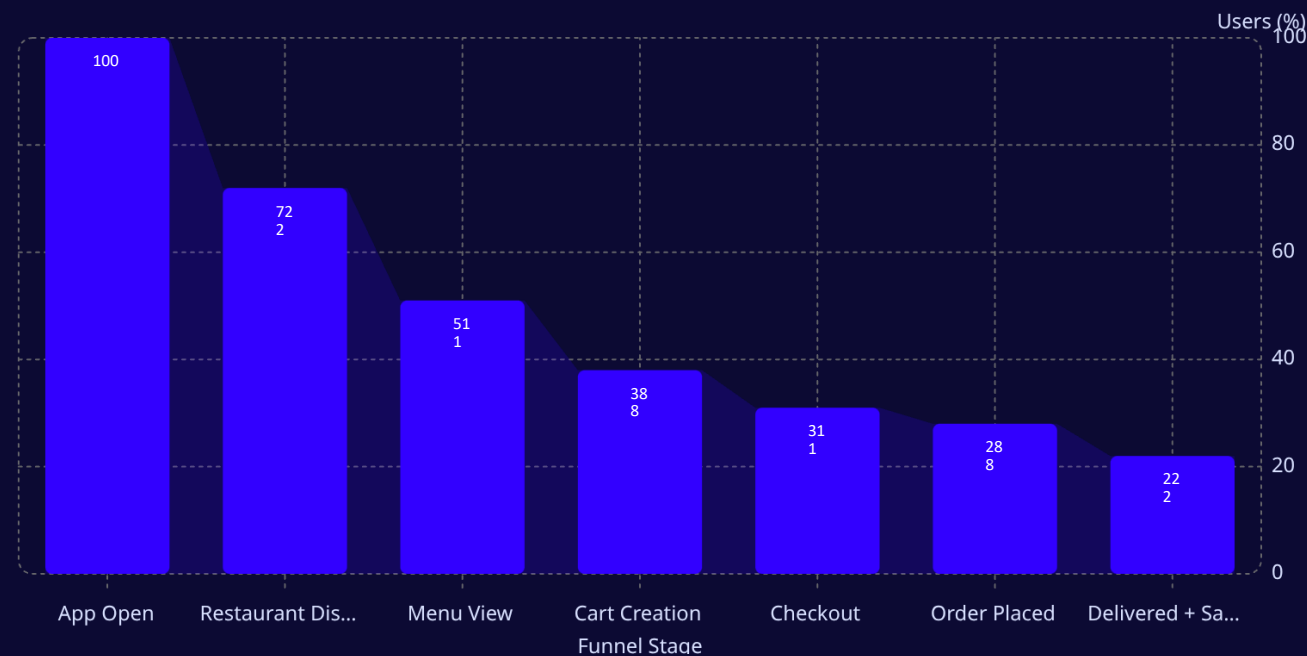


Each friction point compounds the next. A user who experiences discovery overload AND menu uncertainty AND ETA distrust in the same session has a **3x higher likelihood of going dormant** within 14 days. Fixing one stage in isolation delivers marginal gains. Fixing the chain delivers compounding retention.

The Delivery Funnel: Where Volume Leaks Before an Order Is Ever Placed

22%

Total conversion rate



Reading the Funnel

Only 22 in 100 sessions result in a satisfied delivered order — the only event that drives repeat behavior.

Biggest Drop: App Open → Discovery (-28%)

Weak relevance on the home feed sends users into browse paralysis immediately.

Structural Leak: Menu → Cart (-13%)

Menu pages lack confidence signals — no bestsellers, weak photos, ambiguous portions.

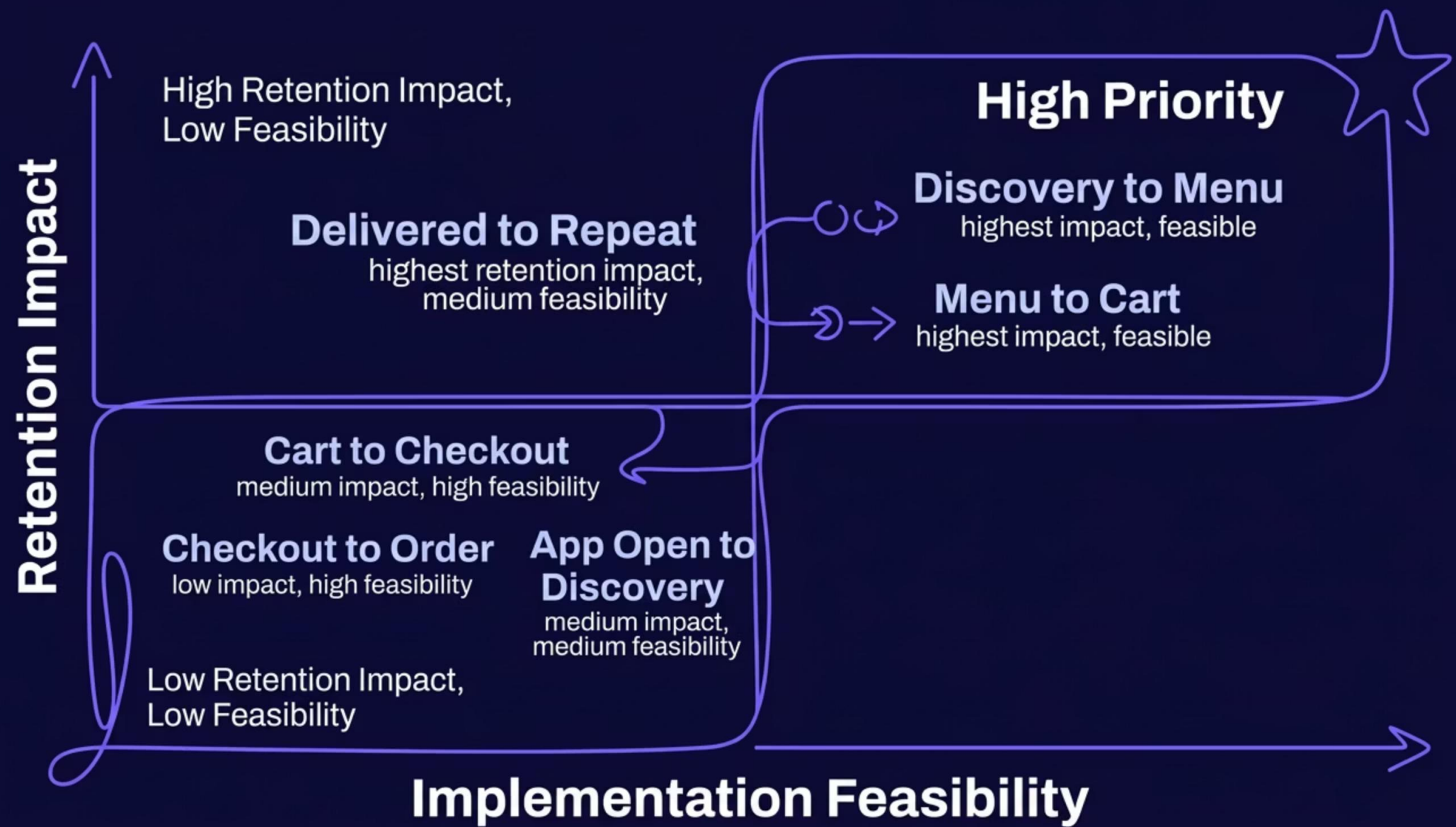
Hidden Leak: Delivered → Retained (-6%)

Bad experience with no recovery offer silently kills the next session. This is where long-term retention is actually decided.

Every Stage Has a User Intent, a Failure Mode, and a Product Hypothesis

Stage	User Intent	Drop-off Reason	Product Hypothesis
App Open	Find something relevant now	Generic feed, no moment-awareness	Personalize home feed by time, weather, and past behavior
Discovery	Choose a trusted restaurant	Choice overload, weak ranking signals	Surface fewer, better options with explicit trust cues (rating, repeat orders)
Menu View	Confirm the right dish	No bestsellers, weak photos, portion ambiguity	Add dish-level signals: bestseller badge, photo quality score, portion notes
Cart	Finalize and proceed	Price shock from delivery + platform fees	Show total cost estimate earlier; introduce bundle logic to increase perceived value
Checkout	Complete fast	Payment friction, coupon confusion	One-tap checkout with smart coupon pre-application and saved preferences
Order Placed	Track with confidence	ETA anxiety, no proactive updates	Proactive delay alerts + live rider context reduce check-in behavior and anxiety
Delivered	Feel good, come back	Poor recovery after bad experience	Trigger immediate resolution offer within 30 min of negative signal; fast credits

Fix the Three Highest-Impact Leaks First — Not All Seven at Once



Priority 1: Discovery → Menu

28% drop-off at the top of the funnel. Fixing ranking quality and trust cues compounds across every downstream stage. Highest volume impact.

Priority 2: Menu → Cart

Menu uncertainty is the silent killer of conversion. Dish-level confidence signals (bestsellers, photos, reviews) are a product investment with clear, measurable CVR lift.

Priority 3: Delivered → Repeat

This is where retention is actually decided. Investing in post-delivery recovery and reliability creates the compounding loop that drives MRTU.

Aggregate Retention Curves Lie. Cohort Curves Reveal the Real Story.

Overall retention looks stable at ~35% monthly. But when you segment by user behavior, three distinct patterns emerge — each requiring a different product response.

New Users

Steep cliff after order 1.
Habit never forms.

Repeat Users

Plateau after month 3. No
new occasion triggers.

Discount-Driven

Sharp drop when promos
pause.

Full-Price

Stable but sensitive to
quality failures.



Each Cohort Has a Distinct Drop Pattern — and a Distinct Product Answer

Cohort	Retention Challenge	Root Cause	Drop Pattern	Product Hypothesis
New Users	Weak habit after first order	No second-order trigger; generic experience	Cliff after order 1–2	First-3-orders onboarding: personalized nudges, curated reorder, milestone rewards
Repeat Users	Usage plateau at month 3–4	Occasion repertoire exhausted; no new triggers	Flat after initial habit	Occasion-based discovery: weekend brunches, office lunches, late-night — new use cases unlock new orders
High-Frequency	Service failures hit harder	Every bad delivery is a breach of an established trust contract	Sudden drop after incident	Priority reliability: proactive recovery, faster resolution SLA, dedicated support tier
Low-Frequency	No habit groove formed	Infrequent usage = weak reinforcement loop	Slow bleed over 60 days	Personalized nudges based on time, location, past orders — reduce activation energy
Discount-Driven	Promo dependence	Value perception tied to discount, not product quality	Cliff when promos end	Value-led retention: exclusive access, free items on reorder, reliability perks — not just % off
Full-Price Users	Low tolerance for quality failure	High expectations; quality is the price of their loyalty	Exit after 1–2 failures	Premium trust signals: restaurant reliability score, quality-verified badges, priority complaint resolution

PRODUCT INVESTMENT PRIORITY

Four Investment Areas — Sequenced by Retention Leverage, Not Effort



4. Checkout Optimization

One-tap checkout, smart coupon pre-application, and transparent fee display. High feasibility, directly measurable CVR lift.



3. New-User Habit Formation

First-3-orders personalized journey with milestone nudges, curated reorders, and occasion prompts. Improves 90-day retention — the most important long-term lever.



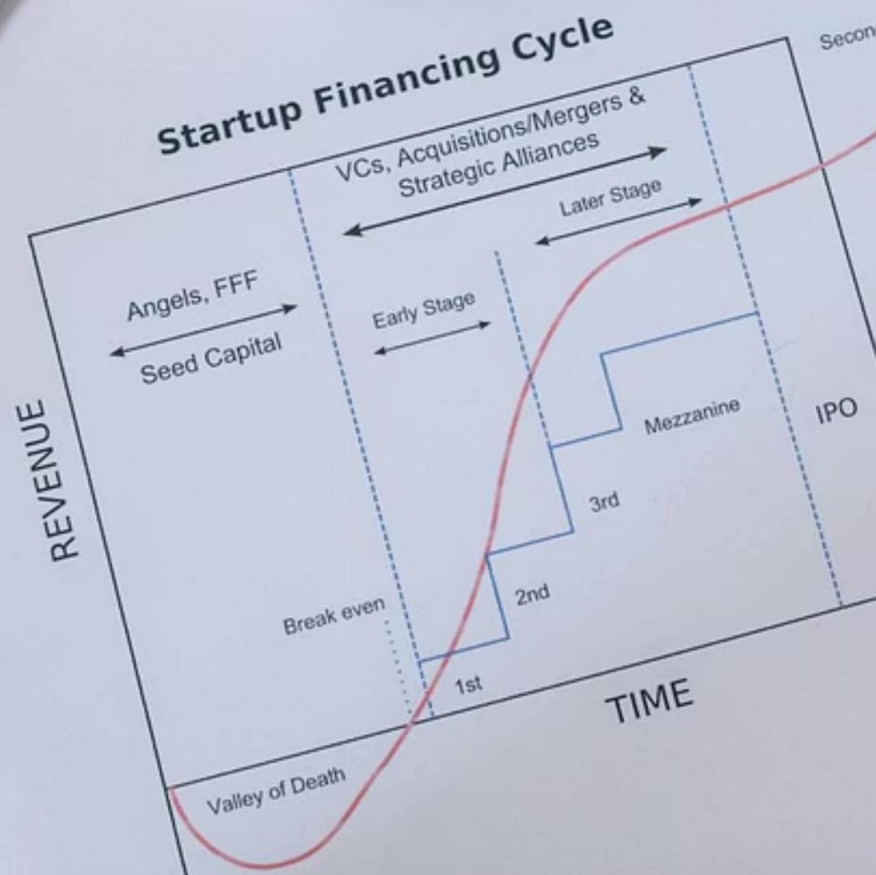
2. Personalized Discovery & Reorder Loops

Smart home feed ranking, occasion-based surfacing, and one-tap reorder widgets. Reduces browse paralysis and raises session-to-order CVR.

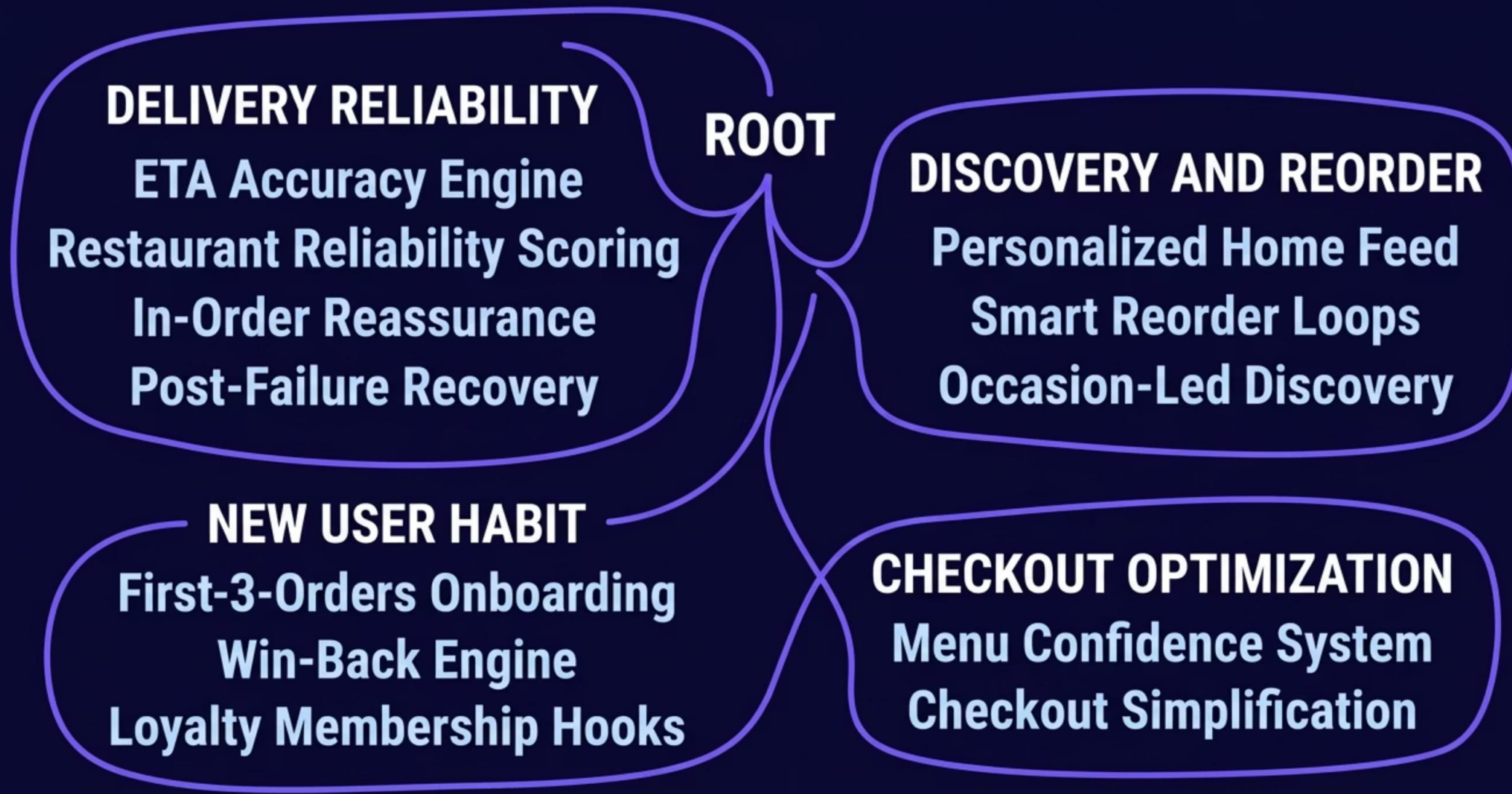


1. Delivery Reliability & Trust

ETA accuracy engine, proactive delay alerts, restaurant reliability scoring, and sub-30-minute post-failure recovery. The highest-impact retention lever — because trust is the product.



Eleven Initiatives Mapped to Key Results — This Is the Product Architecture



Each initiative maps to at least one Key Result. Delivery Reliability initiatives contribute to on-time rate and complaint reduction. Discovery and Reorder initiatives drive session-to-order CVR and orders per user. New User Habit initiatives improve 90-day retention. Checkout initiatives contribute to CVR and discount dependency reduction.

From Input Signals to North Star: Every Initiative Has a Measurable Ladder

Initiative	Input Metrics	Output Metrics	North Star Contribution
Personalized Home Feed	Personalization coverage %, ranking precision score	CTR on feed, menu view rate, avg. scroll depth	↑ Session-to-order CVR, ↑ Orders/retained user
Smart Reorder Loops	Reorder widget impressions, past-order coverage	Reorder tap rate, reorder-to-order CVR	↑ MRTU, ↑ Orders/retained user
ETA Accuracy Engine	ETA prediction error (min), proactive alert send rate	On-time delivery %, check-in frequency, complaint rate	↑ Post-delivery repeat rate, ↑ MRTU
Menu Confidence System	Bestseller badge coverage, photo quality score	Menu-to-cart CVR, dish-level click rate	↑ Session-to-order CVR, ↓ Abandon rate
First-3-Orders Onboarding	Nudge delivery rate, day-3 session rate	Order 2 rate, order 3 rate, 30-day retention	↑ 90-day retention for new users, ↑ MRTU
Post-Failure Recovery	Recovery offer trigger rate, offer acceptance rate	Churn rate post-complaint, NPS lift	↑ 90-day retention, ↓ Complaint-driven churn

Six Practical Experiments to Validate Before Full Build

Each experiment is scoped to be testable in 4–6 weeks with a clear success metric and a defined kill condition.



Time-of-Day Personalized Homepage

Surface breakfast options at 8am, office lunch at noon, and comfort food at 9pm. **Metric:** CTR lift vs. generic feed. **Kill:** <5% CTR improvement in 3 weeks.



Bestseller-Guided Menu

Add dish-level bestseller badges and social proof counts (e.g., "3,200 ordered this week"). **Metric:** Menu-to-cart CVR. **Kill:** No CVR lift after 2,000 sessions.



Smart Reorder Widget

Surface top 3 reorder options on home screen based on recency and frequency. **Metric:** Reorder rate, time-to-order. **Kill:** <8% widget interaction rate.



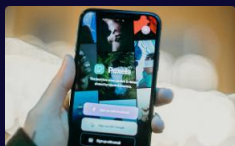
Proactive Delay Communication

Send alert + context before user notices a delay (not after complaint). **Metric:** Post-delay repeat rate, complaint rate. **Kill:** No change in complaint rate.



Post-Failure Recovery Offer

Auto-trigger recovery credit within 30 min of negative delivery signal. **Metric:** 14-day return rate for affected users. **Kill:** Recovery credit cost exceeds CLV delta.



First-3-Orders Onboarding Journey

Curated experience for new users: personalized first order, gentle order-2 nudge at 72h, occasion prompt at day 7. **Metric:** 30-day retention. **Kill:** No delta vs. control at day 30.

Growth comes from trade-offs, not just ideas

Over-Personalization vs. Discovery

Hyper-personalized feeds can create filter bubbles — users stop discovering new restaurants, reducing occasion expansion and long-term LTV. **Guard:** Inject 1–2 exploration slots per session, A/B tested.

Discount Reduction vs. Short-Term Conversion

Reducing promo dependency will cause near-term order volume dips — this will look bad in weekly dashboards. **Guard:** Track cohort-level margin alongside volume; set a 90-day window for judgment.

ETA Accuracy — Operational Constraints

ETA engine depends on real-time restaurant prep signals and rider GPS — data Zomato does not fully own. **Guard:** Build with confidence intervals, not false precision; wide ETAs beat broken ETAs.

Restaurant Supply-Side Quality Variance

Reliability scoring penalizes restaurants, which may cause supply-side friction, especially with key partners. **Guard:** Introduce scoring as a growth tool first ("earn the badge"), not a punitive ranking factor.

Retention vs. Profitability

Post-failure credits and recovery offers cost money. High churn-risk users may have low LTV. **Guard:** Apply recovery investment only where predicted CLV exceeds recovery cost by a defined multiple.

Feature Complexity vs. Speed

11 initiatives risk becoming a 3-year roadmap. **Guard:** Maintain a ruthless MLP (minimum loveable product) standard — ship the 20% of each initiative that delivers 80% of the impact first.

Zomato Wins Tier-1 Retention Through Three Non-Negotiable Pillars

Relevance Make every home screen feel curated for this user, at this moment. Reduce decision cost. Surface the right restaurant before they have to search for it. Personalization is not a feature — it is the product.	Reliability Make every order arrive when promised, and every failure feel fixed in minutes. Trust is earned one delivery at a time and destroyed in one bad experience. Reliability is the retention flywheel's engine.	Repeatability Make re-ordering the path of least resistance. Smart reorder, occasion triggers, loyalty anchors, and habit-forming onboarding compound into the default behavior Zomato needs to win Tier-1 cities in 2026.
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These three pillars are not independent. Relevance drives the first order. Reliability drives the second. Repeatability makes the tenth feel automatic. That is the product strategy.

Build Habit, Not Just Orders.

Retention is not a CRM problem alone. It is the product outcome of a better end-to-end experience — one that earns the user's next order by making the last one worth repeating.

- Zomato's CY2026 opportunity is not to acquire more users. It is to make the ones it already has impossible to leave.

